BUSINESSMASTER CLASS 12 • EXAM MORNING CHEAT SHEET

COMPREHENSIVE HIGH-YIELD REVISION • ALL UNITS (1-12)

1 Nature and Significance of Management

KEY DEFINITIONS

- **Management:** Process of getting things done with the aim of achieving goals effectively and efficiently.
- **Effectiveness:** Finishing the task on time (doing the right task). **Focus**: End result.
- **Efficiency:** Minimum cost / Optimal utilization of resources (doing the task correctly). **Focus**: Cost-benefit analysis.
- **Coordination:** The force that binds all other functions. It is the 'essence' of management, ensuring unity of action.

CORE CONCEPTS

- **Features of Management:** Goal Oriented, Pervasive, Multidimensional (Work, People, Operations), Continuous, Group Activity, Dynamic, Intangible.
- **Nature of Management:**
  • **As Art**: Personalized application, based on practice and creativity, existence of theoretical knowledge.
  • **As Science**: Systematized body of knowledge, Principles based on experiment, Universal validity (*Inexact science*).
  • **As Profession**: Well-defined knowledge, Restricted entry, Professional association, Ethical code, Service motive.
- **Coordination (6 Features):** 1. Integrates group efforts. 2. Ensures unity of action. 3. Continuous process. 4. Pervasive. 5. Responsibility of all managers. 6. Deliberate function.

IMPORTANT DISTINCTIONS

- **Efficiency vs Effectiveness:** Efficiency is about 'Means' (Cost). Effectiveness is about 'Ends' (Result). Both are like two sides of the same coin.
- **Coordination vs Cooperation:** Coordination is a deliberate and formal function. Cooperation is a voluntary effort by individuals.

EXAM PITFALLS & TRICKS

- **Trick:** If a manager 'synchronises' different activities, the concept is **Coordination**.
- **Pitfall:** Confusing 'Social Objective' with 'Management as an Art'. One is a goal, the other is nature.
- **Trick:** 'Survival' is the most basic organisational objective. Without it, Profit and Growth are impossible.

2 Principles of Management

KEY DEFINITIONS

- **Principles of Management:** General guidelines for decision-making and behavior of managers.
- **Scientific Management:** Application of science to each element of management to maximize efficiency.
- **Functional Foremanship:** Technique separating planning (4 bosses) and execution (4 bosses) under 8 specialized masters.
- **Espirit De Corps:** Fayol's principle meaning 'Union is strength' - replace 'I' with 'We' to promote team spirit.
- **Gang Plank:** A direct route of communication between peers to prevent critical delays in emergencies.

CORE CONCEPTS

- **Nature of Principles:** Universal applicability, General guidelines, Formed by practice and experimentation, Flexible, Mainly behavioural, Cause and effect relationships, Contingent.
- **Taylor's Principles:** 1. Science, not rule of thumb. 2. Harmony, not discord. 3. Cooperation, not individualism. 4. Development of each person to their greatest efficiency.
- **Scientific Techniques:** Functional Foremanship, Standardisation/Grading, Method Study, Motion Study, Time Study, Fatigue Study, Differential Piece Wage System.
- **Fayol's 14 Principles:** Division of work, Authority/Responsibility, Discipline, Unity of Command, Unity of Direction, Subordination of individual interest, Remuneration, Centralisation/Decentralisation, Scalar Chain, Order, Equity, Stability of personnel, Initiative, Esprit de Corps.

IMPORTANT DISTINCTIONS

- **Unity of Command vs Unity of Direction:** Command (One subordinate, One Boss) avoids confusion. Direction (One Head, One Plan) avoids duplication of efforts.
- **Fayol vs Taylor:** Fayol (Top-down approach, universal principles). Taylor (Bottom-up approach, shop floor efficiency).

EXAM PITFALLS & TRICKS

- **Trick - Gang Plank:** Direct violation of Scalar Chain allowed ONLY in emergencies.
- **Technique Identification:** If a manager eliminates redundant steps, it is **Method Study**. If he eliminates unnecessary body movements, it is **Motion Study**.
- **Principle Differentiation:** If it's about avoiding orders from multiple bosses, it's **Unity of Command**. If it's about a department having its own clear objective, it's **Unity of Direction**.

3 Business Environment

KEY DEFINITIONS

- **Business Environment:** Total of all external forces outside the control of a business enterprise that affect its performance.
- **Liberalisation:** Removing unnecessary controls and restrictions (licensing, price controls).
- **Privatisation:** Reducing the role of the public sector by selling equity to the private sector.
- **Globalisation:** Integration of the national economy with the world economy.
- **Demonetisation:** Tax administration measure to curb black money and push a less-cash economy.

CORE CONCEPTS

- **Features of Business Env:** Totality of external forces, Specific/General forces, Inter-relatedness, Dynamic, Uncertainty, Complexity, Relativity.
- **Importance:** First mover advantage, Early warning signal, Tapping resources, Coping with rapid changes, Planning/Policy formulation, Improving performance.
- **PESTLE Dimensions:** Economic (Interest/Inflation), Social (Lifestyle), Tech (Innovation), Political (Stability), Legal (Statutory laws).
- **Impact of Govt Policy Changes:** 1. Increasing competition. 2. More demanding customers. 3. Rapid tech change. 4. Necessity for change. 5. Need for developing human resource. 6. Market orientation. 7. Loss of budgetary support to public sector.

IMPORTANT DISTINCTIONS

- **Specific vs General Forces:** Specific (Customers, Competitors) - direct impact. General (PESTLE) - indirect impact on all firms.
- **Economic vs Social:** Economic is about 'money/finance/market'. Social is about 'people/culture/beliefs'.

FORENSIC DATA (1991 CRISIS)

- **Fiscal Deficit:** 6.6% of GDP.
- **Internal Debt:** 50% of GDP.
- **GNP Growth:** Fell to 1.4%.
- **Gold:** 47 tonnes pledged to Bank of England.
- **Credit Rating:** Slashed from AAA to BB+.

DIMENSION ELEMENTS

- **Economic:** GNP, Stock market indices, Value of Rupee, Money Supply.
- **Social:** Literacy rates, Life expectancy, Birth/Death rates.
- **Political:** Ideology of ruling party, Level of political morality.
- **Legal:** FEMA, Competition Act, Factories Act, Companies Act 2013.
- **Technological:** Scientific innovations, Robotics, Biotechnology.

EXAM PITFALLS & TRICKS

- **India at Independence:** 70% population in Agri; 85% in Villages.
- **Globalization Hallmarks:** Free flow of goods, capital, info, technology, and people.
- **Demonetisation Impact:** 86% money invalid; decline in private wealth (real estate); rise in tax collection.
- **Trick:** If people buy more organic food, it is **Social**. If the price drops due to lower tax, it is **Economic**.

4 Planning

KEY DEFINITIONS

- **Planning:** Deciding in advance what to do and how to do it. It bridges the gap between where we are and where we want to go.
- **Premises:** Logical assumptions about the future on which plans are based.
- **Objectives:** The end results towards which every activity is directed.
- **Strategy:** A comprehensive plan including long-term objectives and resource allocation.

CORE CONCEPTS

- **Features of Planning:** Focus on objectives, Primary function, Pervasive, Continuous, Futuristic, Involves decision making, Mental exercise.
- **Planning Process (7 Steps):** 1. Setting Objectives. 2. Developing Premises. 3. Identifying alternative courses. 4. Evaluating alternatives. 5. Selecting an alternative. 6. Implementing the plan. 7. Follow-up action.
- **8 Types of Plans:**
  Objectives: End results to be achieved.
  Strategy: Comprehensive long-term plan (Direction & Scope).
  Policy: General guide to thinking ('We don't hire relatives').
  Procedure: Chronological steps to perform activities.
  Method: Step-by-step prescription for a routine task.
  Rule: Specific statement of what is to be done/not done ('No Smoking').
  Programme: Detailed statement including objectives, policies, and rules for a project.
  Budget: Statements of expected results in numerical terms.

IMPORTANT DISTINCTIONS

- **Internal vs External Limitations:** Internal (Rigidity, Cost, Time). External (Govt policies, Natural calamities, Competitor moves).
- **Policy vs Rule:** Policy is a general guide ('We prefer internal promotions'). Rule is a specific prescription ('No smoking').

FORENSIC DATA (GAIL INDIA CASE)

- **The Shift:** Monopoly to Competitive market (Reliance/British Gas entry).
- **The Plan:** Extend gas grid from 5,600 km to 10,000 km; 45 city gas projects.
- **Total Capex:** ₹2,967.28 crore mainly through internal reserves.

STRATEGY: 3 DIMENSIONS

- Determining **long-term objectives**.
- Adopting a **particular course of action**.
- **Allocating resources** necessary to achieve objectives.

EXAM PITFALLS & TRICKS

- **Rule vs Policy:** Policy (general Thinking); Rule (specific Action, Zero discretion).
- **Method vs Procedure:** Method is a single step of a Procedure.
- **Trick:** If a case study mentions 'Numerical expression of expected results', the answer is a **Budget**.
- **Pitfall:** Plans don't guarantee success; they only reduce uncertainty risks.

5 Organising

KEY DEFINITIONS

- **Organising:** Grouping activities and establishing authority relationships to achieve goals.
- **Organisation Structure:** Framework within which managerial and operating tasks are performed.
- **Span of Management:** Number of subordinates effectively managed by a superior (determines levels).
- **Delegation:** Downward transfer of authority from superior to subordinate.
- **Decentralisation:** Delegation of authority throughout all levels as a policy matter.

CORE CONCEPTS

- **Organising Process:** 1. Identification/Division of work. 2. Departmentalisation. 3. Assignment of duties. 4. Establishing reporting relationships.
- **Functional Structure:** Grouping by functions; Occupational specialization. **Divisional Structure**: Grouping by product lines; Product specialization.
- **Formal Org (Features):** Official relationships, based on rules/procedures, deliberate creation, stability, impersonal.
- **Informal Org (Features):** Spontaneous emergence, no fixed direction of info (grapevine), social needs priority, no written rules.
- **Delegation Elements:**
  • **Authority**: Right to command (downward).
  Responsibility: Obligation (upward).
  • **Accountability**: Final answerability (upward, absolute/cannot be delegated).

IMPORTANT DISTINCTIONS

- **Functional vs Divisional:** Functional is economical; Divisional is costly but flexible and easy to fix responsibility.
- **Delegation vs Decentralisation:** Delegation is compulsory (for daily work); Decentralisation is an optional policy (for long-term growth).

FORENSIC DATA (WIPRO CASE)

- **The Goal:** Customer-orientation for global competition.
- **Key Action:** De-layering (removing a layer of executives) and forming subsidiaries.
- **Structure Shift:** From Centralised to Decentralised management.

CONCEPT ANALOGIES

- **School Fete:** Committees (Food, Ticketing) = Departmentalisation & Coordination.
- **Library Unloading:** 12 students dividing tasks = Division of Work to avoid confusion.

SPAN OF MANAGEMENT

- **Definition:** Number of subordinates managed by a superior.
- **Narrow Span:** Tight control, many levels (**Tall Structure**).
- **Wide Span:** Less supervision, fewer levels (**Flat Structure**).

EXAM PITFALLS & TRICKS

- **Trick:** 'Adding product lines' = **Divisional Structure** (Cosmetics, Garments).
- **Pitfall: Accountability** flows upward and is **Absolute** (cannot be delegated).
- **Trick: Formal Org** is deliberate; **Informal Org** is spontaneous.

6 Staffing

KEY DEFINITIONS

- **Staffing:** Putting the right person on the right job at the right time.
- **Recruitment:** Creating a pool of prospective candidates for a job.
- **Selection:** Negative process of choosing the best person among applicants.
- **Training:** Improving skill/knowledge for a *specific* job.
- **Development:** Holistic growth of an employee for *future* challenges.

CORE CONCEPTS

- **Staffing Process (8 Steps):** 1. Manpower Planning. 2. Recruitment. 3. Selection. 4. Placement. 5. Training. 6. Performance Appraisal. 7. Promotion. 8. Compensation.
- **Selection Process Steps:** 1. Preliminary Screening. 2. Selection Tests. 3. Employment Interview. 4. Reference Checks. 5. Selection Decision. 6. Medical Exam. 7. Job Offer. 8. Contract.
- **Selection Tests:** IQ (Maturity), Aptitude (Learning), Trade (Proficiency), Personality (Values), Interest (Preference).
- **External Sources:** Direct Recruitment, Casual Callers, Advertising, Employment Exchange, Placement Agencies, Campus, Recommendations, Labour Contractors, Web (Naukri.com).
- **Training Methods:** On-the-job (Apprenticeship, Internship, Induction); Off-the-job (Vestibule Training/Model Lab).

IMPORTANT DISTINCTIONS

- **Workload vs Workforce Analysis:** Workload (How many needed). Workforce (How many already present).
- **Internal vs External Recruitment:** Internal is cheap but limits fresh blood. External brings fresh talent but is costly and can lower morale.

EXAM PITFALLS & TRICKS

- **Trick:** If a company looks at 'unsolicited applicants' in its records, the source is **Casual Callers**.
- **Step Identification:** 'Familiarizing the employee with the company rules' is **Orientation/Induction**.
- **Pitfall:** Selection is 'Negative' because more people are rejected than selected. Recruitment is 'Positive'.

7 Directing

KEY DEFINITIONS

- **Directing:** Instructing, guiding, prompting, motivating, and leading people to achieve objectives.
- **Motivation:** Stimulating people to action. It is an internal feeling (psychological).
- **Leadership:** Influencing the behavior of others towards achievement of goals.
- **Communication:** Transfer of information from sender to receiver with the information being understood by the receiver.

CORE CONCEPTS

- **Directing (Features):** 1. Initiates action. 2. Continuous. 3. Pervasive. 4. Flows from Top to Bottom.
- **Maslow's Hierarchy:** Physiological, Safety, Social, Esteem, Self-actualisation.
- **Incentives:** Financial (Bonus, Profit Sharing, Stock Option); Non-Financial (Status, Climate, Recognition).
- **Leadership:** Autocratic (Centred on leader); Democratic (Participative); Laissez-faire (Free rein).
- **Comm. Barriers:**
  • **Semantic**: Bad expression, Symbols with diff meanings, Faulty translation, Technical jargon, Body language.
  • **Psychological**: Premature evaluation, Lack of attention, Loss by transmission, Distrust.
  • **Organisational**: Policy, Rules/Regs, Status, Hierarchy, Facilities.
  • **Personal**: Fear of authority, Lack of confidence, Lack of incentive.

IMPORTANT DISTINCTIONS

- **Semantic vs Psychological Barriers:** Semantic (Language/Jargon issues). Psychological (State of mind, premature evaluation).
- **Formal vs Informal Communication:** Formal (Official, documented). Informal (Grapevine, fast but prone to rumors).
- **Intrinsic vs Extrinsic Motivation:** Intrinsic (from within, e.g., Job enrichment). Extrinsic (external, e.g., Bonus).

EXAM PITFALLS & TRICKS

- **Trick:** If a manager 'gives shares' to employees, it is **Co-partnership/Stock Option**.
- **Barrier Identification:** If a message is 'not understood due to technical terms', it is a **Semantic Barrier**.
- **Leadership Trick:** If the leader 'takes all decisions alone', it is **Autocratic**. If he 'consults everyone', it is **Democratic**.

8 Controlling

KEY DEFINITIONS

- **Controlling:** Process of ensuring that activities conform to plans.
- **Critical Point Control (CPC):** Focusing only on Key Result Areas (KRAs) which are critical to success.
- **Management by Exception (MBE):** Bringing only significant deviations beyond permissible limits to management's notice.

CORE CONCEPTS

- **Controlling Process (5 Steps):** 1. Setting Standards. 2. Measurement. 3. Comparison. 4. Analysing Deviations (CPC/MBE). 5. Corrective Action.
- **Importance of Controlling:** 1. Accomplishing goals. 2. Judging accuracy of standards. 3. Efficient resource use. 4. Employee motivation. 5. Order & Discipline. 6. Facilitating coordination.
- **Features:** Goal oriented, Pervasive, Continuous, Both backward and forward looking.

IMPORTANT DISTINCTIONS

- **CPC vs MBE:** CPC focuses on the *area* (where it happened). MBE focuses on the *degree* (how much it happened).
- **Planning vs Controlling:** Planning provides the base for Controlling. Controlling provides the feedback for future Planning. They are inseparable.

EXAM PITFALLS & TRICKS

- **Trick:** 'An attempt to control everything results in controlling nothing' points to **MBE**.
- **Trick:** 'A 5% rise in labour cost is more critical than a 15% rise in postal charges' points to **CPC**.
- **Corrective Action:** If deviations are repetitive even after action, the standard itself may be too high and needs **Revision**.

9 Financial Management

KEY DEFINITIONS

- **Financial Management:** Optimal procurement and usage of finance to maximize shareholder wealth.
- **Wealth Maximisation:** Primary objective - maximizing the current market price of equity shares.
- **Financial Planning:** Blueprint of future operations to ensure enough funds are available at the right time.
- **Capital Structure:** Mix between debt and equity.

CORE CONCEPTS

- **Financial Decisions:** Investment (Capital Budgeting), Financing (Mix), Dividend (Retention/Release).
- **Capital Structure Factors:** ROI, Cash Flow, ICR, DSCR (Ability to pay dues), Cost of Debt, Tax Rate, Control, Flexibility, Market sense.
- **Dividend Decision Factors:** Amount of earnings, Stability of earnings/dividends, Growth prospects, Cash flow, Shareholder preference, Taxation, Market reaction, Stock market access, Legal/Contractual constraints.
- **Fixed Capital Factors:** Nature, Scale, Technique, Growth, Diversification. **Working Capital**: Operating cycle, Seasonal factors, Credit allowed/availed.

NUMERICAL FORMULAS

- **ROI** = (EBIT / Total Investment) × 100
- **ICR** = EBIT / Interest
- **EPS** = (EBIT - Interest - Tax) / No. of Equity Shares
- **Wealth of Shareholders** = No. of Shares × Market Price per share

IMPORTANT DISTINCTIONS

- **Trading on Equity:** Favourable only when **ROI > Cost of Debt**. It increases EPS by using cheaper debt.
- **Fixed vs Working Capital:** Fixed (Long-term assets). Working (Short-term/Day-to-day liquidity).

EXAM PITFALLS & TRICKS

- **Trick:** If a company 'shares production facilities' with another, its Fixed Capital requirement **decreases**.
- **Pitfall:** Debt is cheaper because interest is a **Tax Deductible Expense**, but it increases **Financial Risk**.
- **Trick:** If ROI is 10% and Interest on Debt is 12%, it is **Unfavourable Financial Leverage**.

10 Financial Markets

KEY DEFINITIONS

- **Financial Market:** Market for creation and exchange of financial assets.
- **Money Market:** Short-term funds (< 1 year). High liquidity, low risk.
- **Capital Market:** Long-term funds (> 1 year). Low liquidity, high risk.
- **Demat Account:** Account to hold securities in electronic form (Dematerialisation).

CORE CONCEPTS

- **Money Market (Instruments):** 1. **T-Bills** (RBI). 2. **Comm. Paper** (Promissory note). 3. **Call Money** (Inter-bank). 4. **Cert. of Deposit** (Banks). 5. **Comm. Bill** (Trade credit).
- **Capital Market:** Primary (New issue via Prospectus, Rights, Private placement); Secondary (Stock Exchange).
- **SEBI Functions:**
  • **Protective**: Control insider trading, prohibit fraud, education.
  • **Regulatory**: Register brokers/agents, code of conduct, audits/inspections.
  • **Developmental**: Training intermediaries, promoting internet trading.

IMPORTANT DISTINCTIONS

- **NSE vs BSE:** NSE (NIFTY 50). BSE (SENSEX 30).
- **Depository (NSDL/CDSL):** Acts like a bank for shares. Minimizes paperwork and theft.

EXAM PITFALLS & TRICKS

- **Bridge Financing:** Issuing **Commercial Paper** to cover floatation costs of equity.
- **Trading Procedure:** Starts with **Selection of Broker** and **Demat Account** opening.
- **SEBI Role Identification:** If SEBI 'fines a broker for cheating', it is **Regulatory**. If it 'bans fake news', it is **Protective**.

11 Marketing

KEY DEFINITIONS

- **Marketing:** Social process by which individuals obtain what they need through creating and exchanging products/value.
- **Marketing Mix:** Set of marketing tools (4 Ps) used to achieve objectives.
- **Brand:** Name, term, sign, symbol, or design that identifies a seller's product.
- **Channels of Distribution:** Set of firms/individuals that take title or assist in transferring title to consumers.

CORE CONCEPTS

- **Marketing Philosophies:** Production (Availability), Product (Quality), Selling (Promotion), Marketing (Customer needs), Societal (Welfare).
- **4 Ps Pointers:**
  • **Product**: Branding (Good brand: short, suggestive), Packaging, Labelling.
  • **Price**: Cost, Utility/Demand, Competition, Govt Laws, Pricing Objectives.
  • **Place**: Channels, Order processing, Transport, Inventory, Warehousing.
  • **Promotion**: Advertising, Personal Selling, Sales Prom, Public Relations.
- **PR Tools:** News, Speeches, Events, Written materials (Annual reports), Public service activities.
- **Adv. Objections:** Adds to cost, Confuses buyer, Promotes materialism (social value impact).

IMPORTANT DISTINCTIONS

- **Selling vs Marketing:** Selling (Seller needs, profit through volume). Marketing (Buyer needs, profit through satisfaction).
- **Advertising vs Personal Selling:** Advertising (Impersonal, mass reach). Personal Selling (Personal, flexible).

EXAM PITFALLS & TRICKS

- **Trick:** If a company 'labels its product for safety warnings', it is the **Labelling** function.
- **Pitfall:** Packaging is the 'Silent Salesman' because it attracts customers and promotes sales without human intervention.
- **Public Relations:** If a company 'sponsors an event' to improve its image, the tool is **Public Relations**.

12 Consumer Protection

KEY DEFINITIONS

- **Consumer:** One who buys goods or avails services for a consideration. Does not include resale or commercial purposes.
- **Unfair Trade Practice:** Fraudulent practices like hoarding, overcharging, or selling sub-standard goods.

CORE CONCEPTS

- **Consumer Rights:** Safety, Information, Choice, Heard, Redressal, Education.
- **Who Can File:** 1. Any Consumer. 2. Voluntary association. 3. Central/State Govt. 4. One/more consumers on behalf of many. 5. Legal heir of deceased consumer.
- **Jurisdiction:** District (up to ₹1 Cr), State (₹1-10 Cr), National (above ₹10 Cr).
- **Reliefs Available:** 1. Remove defect. 2. Replace product. 3. Refund price. 4. Compensation for injury. 5. Punitive damages. 6. Discontinue UTP (Unfair Trade Practice). 7. Cease manufacture of hazardous goods. 8. Corrective advertisement. 9. Pay to Consumer Welfare Fund.

IMPORTANT DISTINCTIONS

- **Rights vs Responsibilities:** Rights are what you *get* from the law. Responsibilities are what you *must do* to protect yourself.
- **Appeal:** Within **45 days** from District to State, and within **30 days** from State to National.

EXAM PITFALLS & TRICKS

- **Trick:** If a consumer 'is not provided manual for an appliance', the right violated is **Right to Information**.
- **Pitfall:** A person who buys goods for **resale** is NOT a consumer under the Act.
- **Trick:** 'ISI' mark is for **Electrical goods**. 'Hallmark' is for **Jewellery**. 'Agmark' is for **Agricultural products**.